

Ambuja Cements Ltd (AMBUJACEM)

Materials | Cement

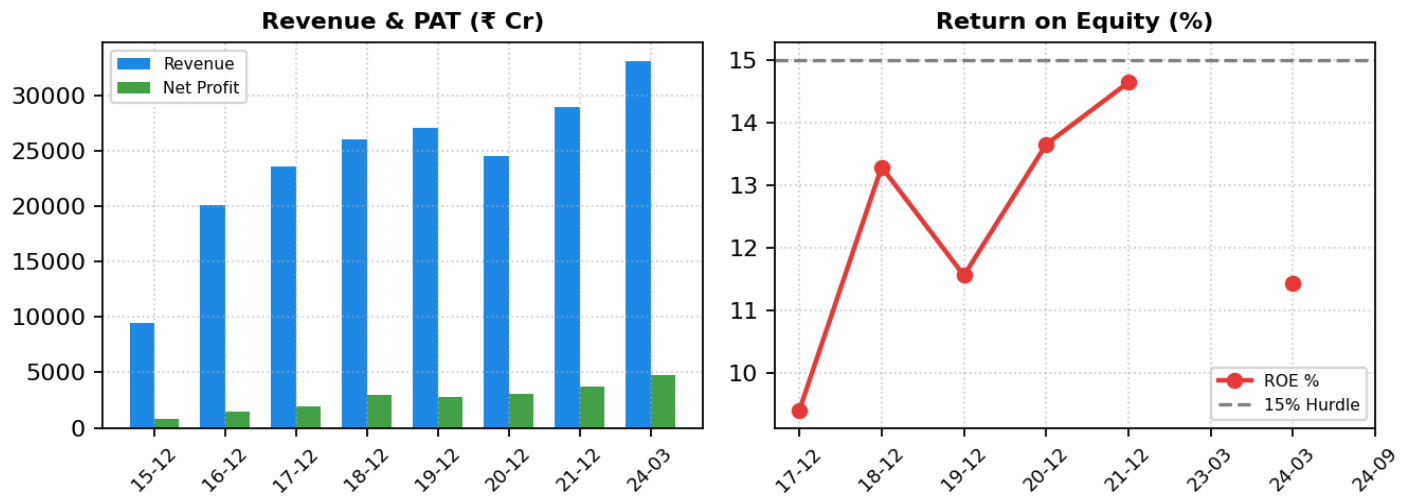
Health Score:
47.6/100

Nifty 100 Fundamental Intelligence

Business Profile: Ambuja Cements Ltd. is among the leading cement companies in India. It is a member of the Adani Group. Currently, Ambuja Cement has a cement capacity of 31 million tonnes with six integrated cement manufacturing plants

Market Cap: ■ 1,281,411 Cr	P/E Ratio: 55.6x
Return on Equity: 11.4%	Debt / Equity: 0.02x
Free Cash Flow: ■ -3,295 Cr	5Y Rev CAGR: 5.0%

Historical Performance & Return Ratios

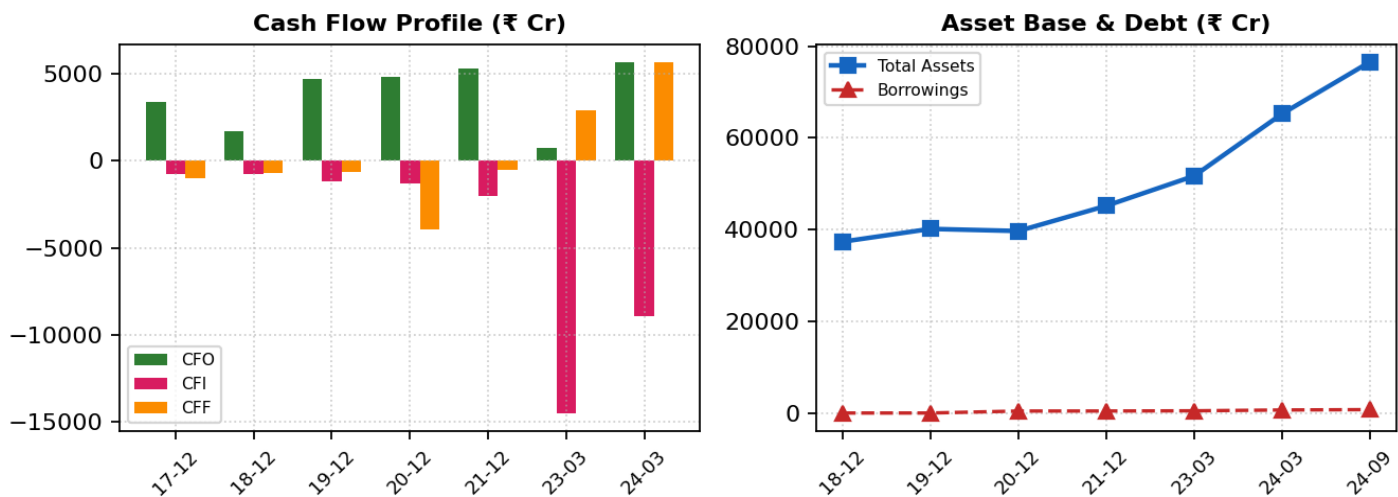


Metric	19-12	20-12	21-12	24-03
Revenue (■ Cr)	27,104	24,516	28,965	33,160
Operating Profit (■ Cr)	4,597	5,006	6,210	6,400
Net Profit (■ Cr)	2,783	3,107	3,711	4,738
EPS (■)	11.0	12.0	14.0	16.0

Financial Quality & Risk Intelligence — AMBUJACEM

Capital Allocation Pattern: Growth via External Capital | CFO-to-PAT Quality: 1.19x

Cash Flow Dynamics & Solvency



Investment Strengths (Pros)

- **Strengths:** Conservative capital structure with low D/E ratio of 0.02x.
- **Strengths:** High quality earnings with CFO-to-PAT conversion ratio of 1.19x.
- **Strengths:** Strong solvency buffer with outstanding interest coverage.
- **Strengths:** Attractive dividend yield of 3.10%.

Key Risks & Considerations (Cons)

- **Risk Factor:** Negative free cash flow of ₹3,295 Cr due to heavy CapEx or working capital drag.
- **Risk Factor:** Premium equity valuation multiple with P/E of 55.6x.
- **Risk Factor:** Sluggish 5-year top-line growth at 5.0% CAGR.